

KCB GROUP

HALF YEAR FINANCIAL RESULTS 2011

INVESTOR AND MEDIA PRESENTATION

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28th JULY 2011



KCB

*Making the
Difference*

PRESENTATION OUTLINE

- Group income statement
- Group balance sheet
- Income growth
- PBT Growth
- Total assets, net loans & advances and customer deposits
- Key bank statutory ratios
- Highlights of income statement
- Highlights of balance sheet
- Key Developments
- Positioning
- Future Prospects



GROUP INCOME STATEMENT (KShs. Millions)

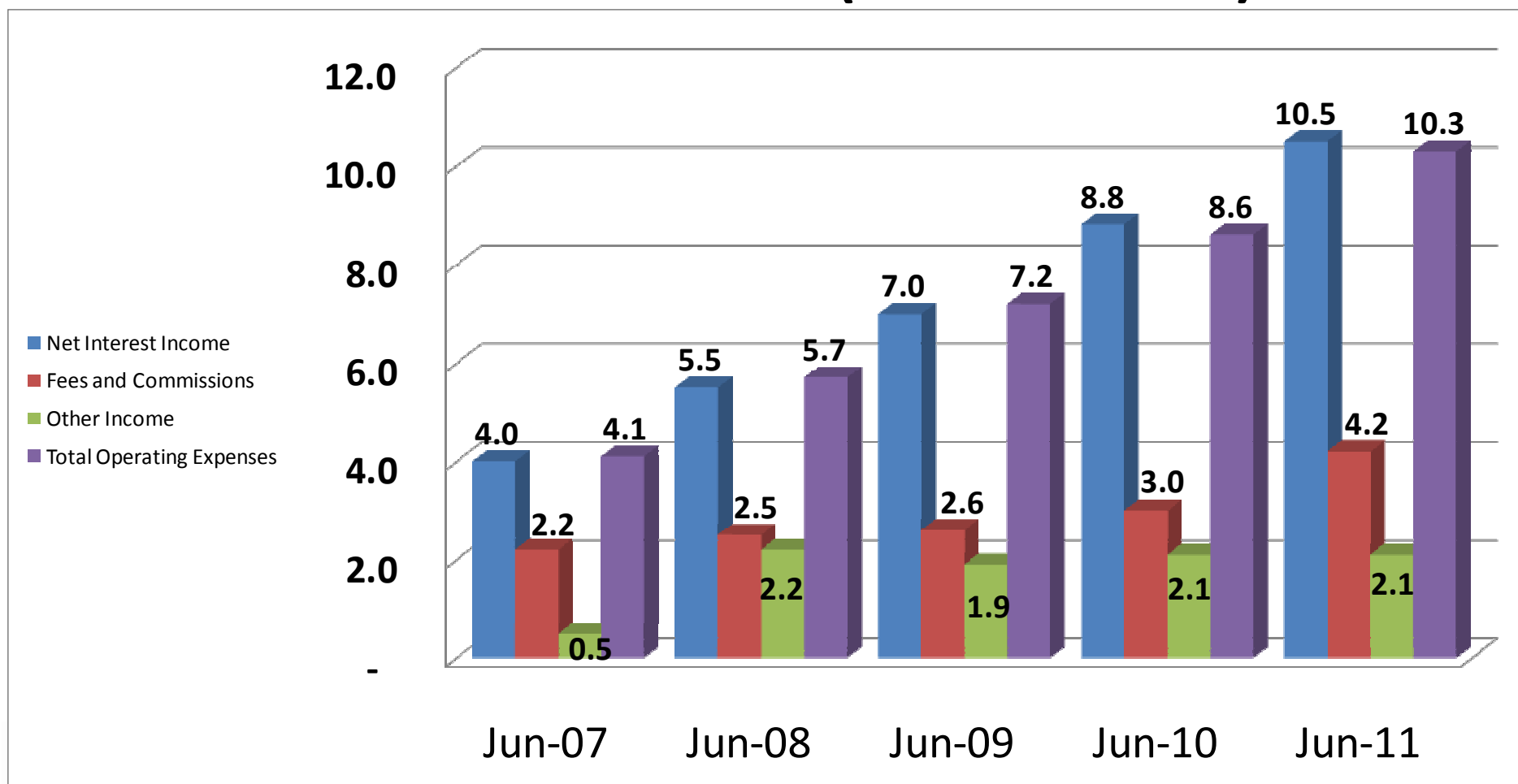
	AUDITED DEC 2010			%
		Jun-10	Jun-11	CHANGE
Net interest income	19,645	8,757	10,533	20 %
Foreign exchange income	2,775	1,249	1,359	9 %
Fees and commissions	6,789	3,000	4,238	41 %
Other income	426	160	274	71 %
Total operating income	29,635	13,166	16,404	25 %
Total operating expenses	(18,719)	(8,628)	(10,294)	19 %
Profit before provisions & tax	10,916	4,538	6,110	35 %
Provisions for bad debts	(2,144)	(1,012)	(840)	(17 %)
Bad debts recovered	1,026	681	469	(31 %)
Profit before tax	9,798	4,207	5,739	36 %
Tax	(2,620)	(1,341)	(1,681)	25 %
Profit after tax	7,178	2,866	4,058	42 %

GROUP BALANCE SHEET (KShs. Millions)

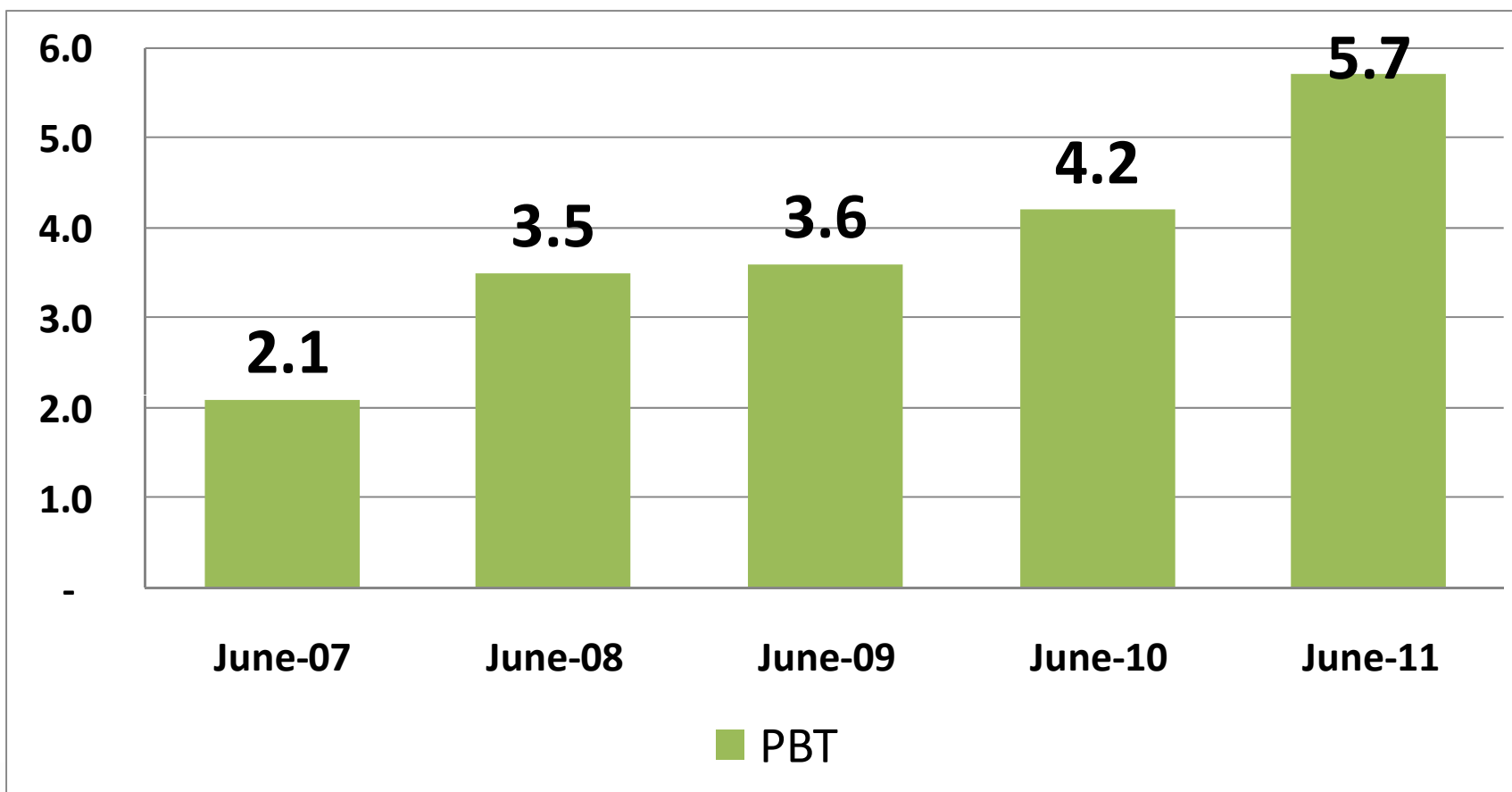
	AUDITED DEC 2010	Jun-10	Jun-11	% Change
Assets				
Cash and balances with CBK	18,028	18,974	17,867	(6%)
Balances with other institutions	19,181	8,919	21,297	>100%
Investments in Gvt. Securities	44,246	45,782	40,544	(11%)
Available for Sale Investments	5,862	2,011	7,477	>100%
Net loans and advances	148,113	130,005	175,204	35%
Fixed assets	9,786	10,183	10,069	(1%)
Other assets	6,140	10,275	7,258	(29%)
Total Assets	251,356	226,149	279,716	24%
Liabilities				
Deposits	196,975	191,975	215,738	12%
Balances due to other banks	11,057	4,849	19,974	>100%
Other liabilities	4,194	5,948	5,569	(6%)
Total Liabilities	212,226	202,772	241,281	19%
Share capital	2,950	2,218	2,950	33%
Proposed dividends	3,688	-	-	-
Reserves and premium	32,492	21,159	35,485	68%
Shareholders Equity	39,130	23,377	38,435	64%
Total Liabilities and Equity	251,356	226,149	279,716	24%



INCOME GROWTH(KShs. Billions)



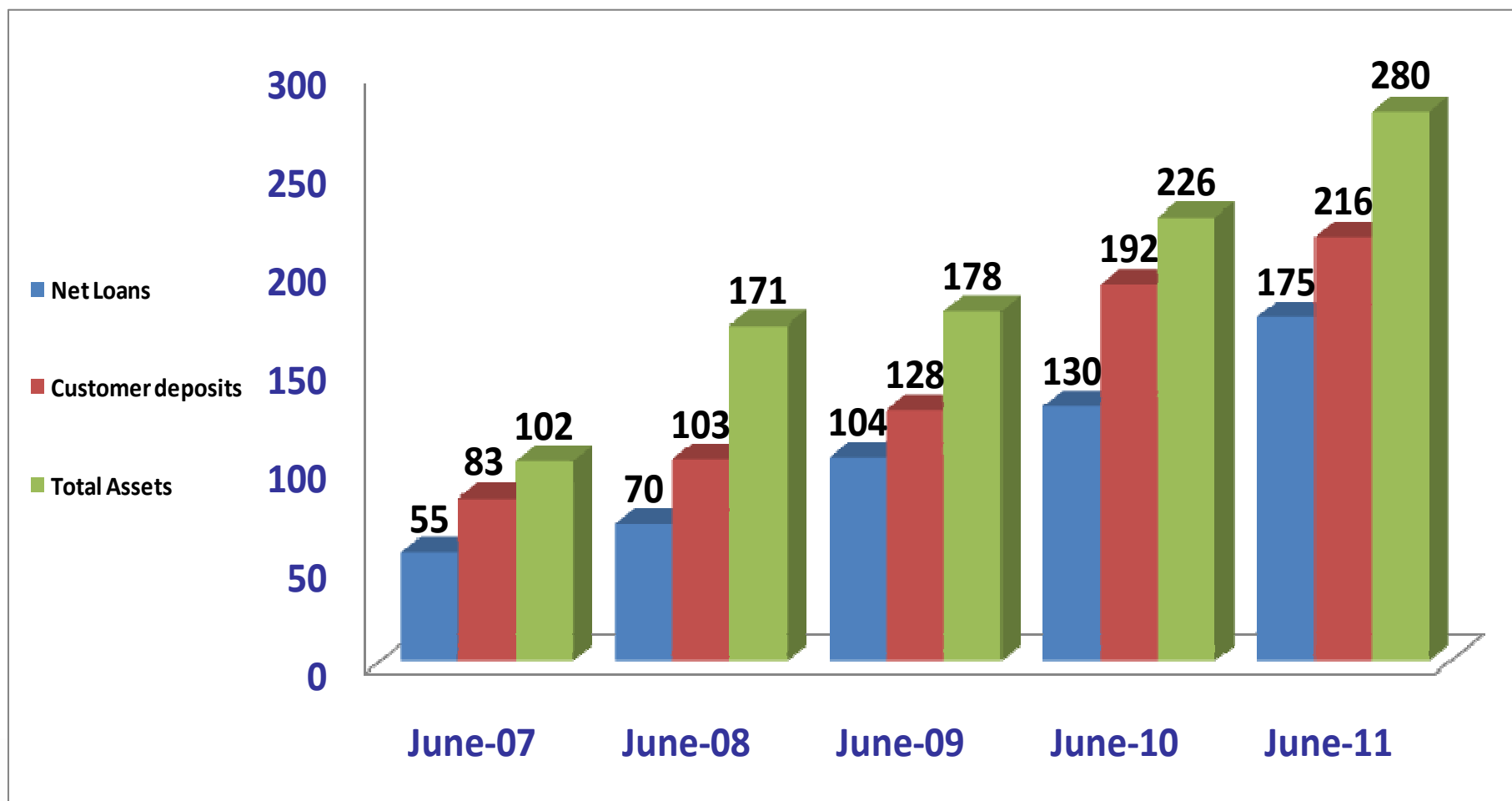
PBT GROWTH (KShs. Billions)



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TOTAL ASSETS, NET LOANS & ADVANCES AND CUSTOMER DEPOSITS (KShs. Billions)



KEY BANK STATUTORY RATIOS

KCB BANK	CBK Min.	Jun-10	Dec-10	Jun-11
Core capital /Total deposit liabilities	8.0%	10.6%	21.6%	17.9%
Core capital /Total risk weighted assets	8.0%	13.1%	23.1%	16.6%
Total capital /Total risk weighted assets	12.0%	13.2%	23.2%	16.7%
Liquidity ratio	20.0%	36.3%	30.7%	20.7%



HIGHLIGHTS (INCOME STATEMENT) JUNE-2011

- ❑ Profits before tax up by 36% to Kshs 5.7Bn from Kshs 4.2Bn
- ❑ Net interest income up by 20%
 - ❖ Due to increased lending
- ❑ FCY income up by 9% due to high volume in FCY business
- ❑ Fees and commissions up by 41%
 - ❖ High business volumes and increased customer base
- ❑ Other income up by 71%
 - ❖ Rental income, Leadership centre income, and recoveries
- ❑ Total operating expenses increased by 19% due to
 - ❖ Costs arising from network/infrastructure expansion
 - ❖ One off Transformation costs
- ❑ Gross provisions down by 17%
 - ❖ Improved loan quality in 2011



HIGHLIGHTS (BALANCE SHEET) JUNE-2011

- ❑ Total assets grew by 24%
- ❑ Net loans and advances increased by 35%
 - ❖ Good growth in both retail and corporate business
- ❑ Increase in deposits by 12%
 - ❖ More aggressive marketing of deposits across our business
- ❑ Investment in Govt. Securities down by 11%
 - ❖ Surplus funds applied to support growth in loans
- ❑ Available for sale investments increased by over 100%
 - ❖ Management of liquid assets
- ❑ Inter-bank balances increased owing to additional placements from and with other financial institutions
- ❑ Shareholders funds up by 64%
 - ❖ Additional funds from rights issue in Q3, 2010
 - ❖ Growth in PBT
- ❑ Other assets/liabilities down by 29% and 6% respectively
 - ❖ Items in transit and prepayments



KEY DEVELOPMENTS –REGIONAL NETWORK

- Regional Network totaling 222 outlets
 - Kenya – 169; Tanzania – 11; South Sudan – 19; Uganda – 14 and Rwanda – 9
- Growing ATM network of 403 own machines plus PesaPoint, 133 & Kenswitch, 386.
- Programme on Transformation Agenda:
 - Diagnostic phase now completed
 - Key initiatives under implementation
 - Business sales stimulation programme rolled across all branches
 - Process improvement for Operations, IT and Credit to increase revenues, reduce costs and improve efficiency
 - Completed implementation of the new organisation structure



KEY DEVELOPMENTS –PRODUCTS/SERVICES

- KCB Mtaani, our Agent Banking platform launched; leverage on partnership with Postal Corporation of Kenya (PCK)
- KCB internet banking proposition in pilot phase; to be rolled out over coming weeks
- Focus on the lower-end of the market critical to boost fees and commissions line from SME/Micro lending
- Transformation project to usher in more market-driven product propositions to meet customer needs



POSITIONING

- Offer competitive tariffs in the financial services to the market
- Strong regional brand through increased market awareness
 - KCB motor rallies in Kenya, Uganda & Rwanda, KCB EA Golf Tour, Athletics and other sports sponsorships.
- Responsible corporate citizen
 - KCB Foundation providing Community Social Investment across the region in five thematic areas, namely Health, Environment, Education, Enterprise Development, and Humanitarian Intervention.
 - Implementing KCB Green Agenda; Second Sustainability Report released in January 2011 and roll out of similar initiatives
- Cross-listing of KCB shares in Uganda, Tanzania and Rwanda enhancing demand and visibility
- KCB ranked first among financial services firms in the Business Brand Values Index rating (AAA+)



FUTURE PROSPECTS

- KCB remains the most capitalized bank in the region (Kshs 38.4billion)
 - To leverage capital position to enhance market share across existing business.
 - To seek opportunities for growth and expansion in existing and new markets
- Regional market growth
 - Opportunity for market share growth
 - Drive synergies across the region for the benefit of our customers
- Network optimization, efficiencies and productivity improvements

Our vision: To be the preferred financial solutions provider in Africa with global reach



THANK YOU



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